CHENNAI FLAGSHIP · 2026

RaceSims *Chennai* Flagship Centre

A 6-rig premium sim racing centre — built by the country's only Conspit & VNM distributor, on cost-price kit, in the city where motorsport already lives.

02 · THE OPPORTUNITY

Sim racing in India is where karting was *in 2010.*

WHY NOW

- 1M+ active sim racers in India (Steam + console + mobile crossover)
- Zero premium dedicated centres — only home setups & cybercafé-grade rooms
- Direct-drive hardware now affordable; motion platforms credible sub-₹10L
- Motorsport audience (F1, MotoGP, INRC) growing 25-30% YoY in India
- Esports recognised by Govt of India (2022) — competitive sim racing has a path

WHY US

- **India distributor for Conspit & VNM** — premium rigs at cost price
- ARKA Motorsports lineage — 130+ championship titles, real racing credibility
- Existing dealer network across 4 cities running our Hot Lap pool
- National Sim Racing Championship announced for 2027
- Operator + distributor + championship organiser — integrated stack

03 · THE CENTRE

6 rigs. 12 hours a day. *365 days a year.*

RIGS
6
5 Rally/GT + 1 Motion

OPERATING HOURS
12 hr
Daily, 7 days a week

ANNUAL CAPACITY
26,280
Seat-hours (hard ceiling)

TEAM
4
Direct + outsourced CA

FORMAT & EXPERIENCE

- Premium location · 1,200-1,500 sq ft commercial space
- 5 Rally/GT rigs · Conspit DD wheelbase, load-cell pedals, H+seq shifter
- 1 Motion rig · Conspit/VNM motion platform — premium tier offering
- Café-lounge, branded photo zone, viewing area
- Event/streaming kit from day one — RaceSims Championship build-up

REVENUE STREAMS

- Per-hour sessions · peak / off-peak / motion premium tiers
- Memberships & multi-hour packs
- Corporate events, birthdays, team-building
- Coaching & race academy
- Championship entry fees (from 2027)
- Café, merch & brand collaborations

04 · THE UNFAIR ADVANTAGE

We build a ₹65L centre for ₹39L. *Every centre.*

Premium Conspit & VNM kit at distributor cost. A competitor pays ₹65-70L retail for the same rigs we deploy at ₹39L. A ₹26-31L structural cost advantage per centre.

Rally Rig — ₹5,84,900 each

High-end PC (RTX 4070Ti+)	₹2,70,000
Monitor (premium tier)	₹75,000
Conspit cockpit frame	₹35,000
Conspit / VNM bucket seat	₹20,000
Conspit DD wheelbase	₹42,000
Conspit GT / rally wheel	₹28,000
QR + load-cell pedals	₹34,900
Handbrake + shifter	₹40,000
Audio system + speakers	₹40,000
Total per rig	**₹5,84,900**

Motion Rig — ₹9,84,900

Rally rig base (above)	₹5,84,900
Conspit / VNM motion system	₹4,00,000
Total motion rig	**₹9,84,900**

6-rig deployment

5 × Rally Rig	₹29,24,500
1 × Motion Rig	₹9,84,900
Total rig deployment	**₹39,09,400**

Retail equivalent: ₹65-70L — built-in equity of ₹26-31L per centre.

05 · CAPEX

Total Y1 investment: *₹92L*

HARD CAPEX · ₹69.3L

Rigs (5 Rally + 1 Motion)	₹39,09,400
Space prep (HVAC, interior, flooring, lighting, furniture)	₹8,50,000
Power & electrical (wiring + UPS 6 KVA)	₹2,50,000
IT, software, networking, POS	₹2,55,000
Brand & CX (signage, café, streaming kit)	₹4,60,000
Safety, spares & tools	₹1,08,000
Deposits & pre-opening (incl. ₹9L rent deposit)	₹11,00,000
Hard capex total	**₹69,32,400**

WORKING CAPITAL · ₹23.1L

5 months × ₹4.63L monthly opex	₹23,13,000

Grand total

Hard capex	₹69.32L
Working capital (5 mo)	₹23.13L
Total Y1 cash need	**₹92.45L**

Built-in equity

Rigs deployed at our cost (**₹39L**) are worth **₹65-70L at retail**.

Day-one balance sheet equity of **₹26-31L** — invisible on cash flow, real on the balance sheet.

PAYBACK WINDOW

Invested capital recovered on cumulative EBITDA by **Q2 of Year 3**.

06 · OPERATIONS

₹4.63L / month. *Lean by design.*

TEAM — 4 DIRECT + OUTSOURCED CA

ROLE	COUNT	₹ / MONTH
Senior Team Lead	1	₹35,000
Multi-role Team Member	2	₹40,000
Housekeeping	1	₹5,000
Direct payroll	**4**	**₹80,000**
Statutory (PF + ESI + bonus, ~28%)		₹22,400
Outsourced CA (filings only)		₹7,000
Total staff cost		**₹1,09,400**

Senior Lead handles Zoho Books day-to-day; CA does filings. Team is multi-role: sim ops, floor, marketing, community.

OVERHEADS

Rent (premium location)	₹1,50,000
Electricity & utilities	₹1,05,000
Maintenance & spares	₹25,000
Marketing budget	₹25,000
Incentive pool reserve	₹25,000
Software, insurance, bank, music, misc	₹23,200
Non-staff overheads	**₹3,53,200**
Total monthly opex	**₹4,62,600**

Annual opex Y1 · ₹55.5L

07 · REVENUE MODEL

Break-even at 28%. *Y1 lands at 30%.*

UTILISATION RAMP · BASE CASE

YEAR	UTIL %	HRS/RIG/DAY	BLENDED ₹/HR
Y1 · 2026	30%	3.6	₹750
Y2 · 2027	50%	6.0	₹800
Y3 · 2028	60%	7.2	₹900
Y4 · 2029	65%	7.8	₹1,000
Y5 · 2030	68%	8.2	₹1,100

Blended rate weighs off-peak ₹500-650, peak ₹900-1,200, motion premium ₹1,200-1,500, group/corporate bookings. Industry benchmark for mature entertainment venues: 50-65%. 68% by Y5 is defensible-ambitious.

REVENUE BUILD (₹L)

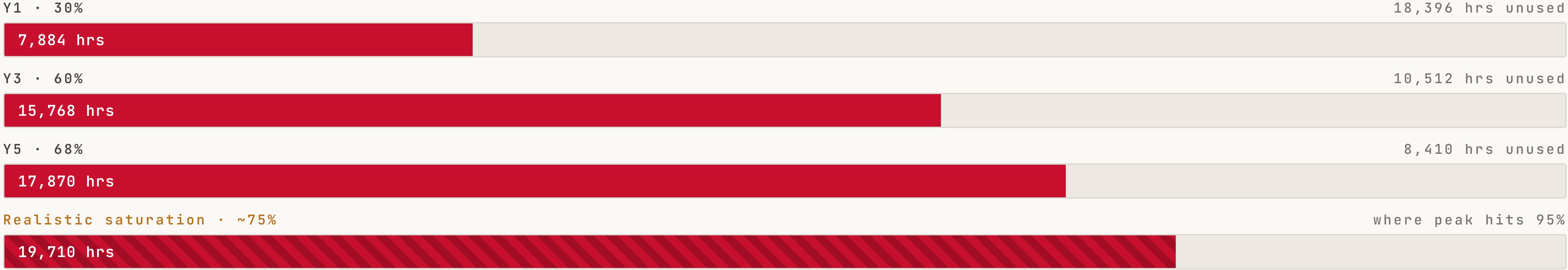
YEAR	RIG	ANCILLARY	TOTAL
Y1	59.1	8.3	**67.4**
Y2	105.1	19.5	**124.6**
Y3	141.9	33.2	**175.1**
Y4	170.8	45.1	**215.9**
Y5	196.6	55.1	**251.7**
5Y total	**673.5**	**161.2**	**834.7**

Ancillary = café + events + coaching + merch + championship entries. Grows from 14% → 28% of rig revenue. Café drives ~50%; events ~25%; merch modest (3-4% walk-in attach + event-day spikes).

08 · CAPACITY REALITY

The constraint isn't average utilisation — *it's peak saturation.*

ANNUAL CEILING · 26,280 SEAT-HOURS (IMMOVABLE)



PEAK VS OFF-PEAK SPLIT · Y5

SLOT	HRS/WK	UTIL	STATUS
Weekday off-peak (11am-6pm)	210	~45%	Room
Weekday peak (6pm-11pm)	150	~90%	Near full
Weekend (all day)	144	~88%	Near full
Blended	**504**	**68%**	

At Y5, peak slots are 90%+ booked. Growth from here = raise peak prices or open Centre #2.

Centre #2 trigger

Weekday peak hits **90%+ for 3 consecutive months** (expected mid-Y3) → trigger Centre #2 rollout.

OFF-PEAK STRATEGY

- Corporate team-building (₹15-25K per session)
- Coaching & race academy (recurring weekday mornings)
- Schools/colleges (esports clubs, mornings + early afternoons)
- League play (Championship qualifiers)
- Influencer / content shoots (paid)

09 · 5-YEAR P&L · BASE CASE

₹4.74cr cumulative EBITDA. *65% margin by Y5.*

ALL FIGURES IN ₹ LAKHS	Y1	Y2	Y3	Y4	Y5	5Y TOTAL
REVENUE						
Rig revenue	59.1	105.1	141.9	170.8	196.6	673.5
Ancillary (café, events, coaching, merch)	8.3	19.5	33.2	45.1	55.1	161.2
Total revenue	**67.4**	**124.6**	**175.1**	**215.9**	**251.7**	**834.7**
OPERATING EXPENSES						
Payroll + statutory + CA	13.1	17.2	18.2	19.3	20.4	88.2
Rent (5% escalation)	18.0	18.9	19.8	20.8	21.9	99.4
Electricity & utilities	12.6	13.5	14.5	15.5	17.0	73.1
Maintenance & spares	3.0	3.5	4.0	4.5	5.0	20.0
Marketing	3.0	4.0	5.0	5.5	6.0	23.5
Incentive pool	3.0	4.0	5.0	5.5	6.0	23.5
Café COGS + other variable	2.6	4.5	6.8	9.0	10.6	33.5
Total opex	**55.3**	**65.6**	**73.3**	**80.0**	**86.9**	**361.1**
EBITDA	**12.1**	**59.0**	**101.8**	**135.9**	**164.8**	**473.6**
EBITDA margin %	18%	47%	58%	63%	65%	57%
Depreciation (rig 5yr + infra 7yr SLM)	10.9	10.9	10.9	10.9	10.9	54.3
PBT	1.2	48.1	90.9	125.0	153.9	419.1
Tax @ 25%	0.3	12.0	22.7	31.3	38.5	104.8
PAT	**0.9**	**36.1**	**68.2**	**93.7**	**115.4**	**314.3**

10 · RETURNS

Payback in 26 months. *5.1× EBITDA on capital.*

Y1 INVESTMENT	PAYBACK PERIOD	5Y CUMULATIVE EBITDA	Y5 EBITDA MARGIN
₹92L	**26 mo**	**₹4.74 cr**	**65%**
₹69L capex + ₹23L WC	Q2 of Y3 on EBITDA	5.1× capital deployed	Mature steady state

CUMULATIVE CASH POSITION (₹L)

YEAR	EBITDA	CUMULATIVE	NET OF ₹92L
Y1	12.1	12.1	−79.9
Y2	59.0	71.1	−20.9
Y3	101.8	**172.9**	**+80.9**
Y4	135.9	308.8	+216.8
Y5	164.8	473.6	+381.6

Cash positive early Y3. Capital fully returned by Q2 Y3.

THREE SCENARIOS · SENSITIVITY TO Y5 UTIL

SCENARIO	Y5 UTIL	5Y EBITDA	PAYBACK
Conservative	62%	₹4.0cr	~30 mo
Base case	**68%**	**₹4.74cr**	**~26 mo**
Aggressive	72%	₹5.10cr	~24 mo

Y3 EBITDA SENSITIVITIES

Each 1% utilisation change	±₹1.8L
Each ₹50 blended rate change	±₹3.6L
10% rent variance	±₹1.8L

11 · THE ASK

₹92L for the Chennai flagship. *The proof point.*

WHAT ₹92L BUYS

- 6-rig premium centre at our cost-price kit
- Premium Chennai location (1,200-1,500 sq ft)
- 5 months operating runway built in
- Event/streaming kit for Championship 2027
- Founding team of 4 in place from month one

WHAT IT RETURNS

- **₹4.74 cr** cumulative EBITDA over 5 years
- **₹3.14 cr** cumulative PAT
- **26-month** payback on EBITDA
- **65%** EBITDA margin at steady state
- Operating template for national rollout

WHY THIS FIRST

- Single centre — single proof point
- Numbers built bottom-up, line by line
- Distributor edge → structural moat
- Chennai · motorsport's natural home
- Centre #2 triggered by saturation, not calendar

NEXT CONVERSATION

Multi-centre national rollout · Franchisee economics · Championship monetisation

PROPOSAL · v2 BASE CASE